PORTFOLIO RESEARCH / REFRESH & RE-UNDERWRITE / 19 OCTOBER 2026

Adobe Inc.

ADBE · NASDAQ · CREATIVE CLOUD • DOCUMENT CLOUD • AI SOFTWARE

ADD / GATED · RESEARCH CONVICTION 7/10

Creative and document workflows remain entrenched, but accelerated freemium AI usage could mask slowing organic paid net-new ARR and dilute monetization for incumbents.

Investment horizon: 3–5 years · Price: October 19 regular-session close · Preliminary scenario estimates, not a guaranteed 12-month target

MARKET CLOSE	BASE DCF	SCENARIO WEIGHTED	PORTFOLIO WEIGHT
$247.09	**$346**	**$361**	**0.50%**
19 Oct 2026, 4pm ET	+40% estimated vs. close	+46% vs. close	35 shares / ADRs

SOURCE-CONTROL SUMMARY

Quarterly financials through FY26 Q3 · Sep 10; market data October 19; estimates sampled October 19; holdings, quantity, cost basis and weight solely from **retirement-portfolio-63.xlsx** uploaded by the user. Default-branch GitHub manifest still incorrectly names export 61; not used for portfolio numbers.

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01 · Executive investment judgment

Adobe trades at a discounted cash-flow multiple that presumes little durable growth, yet evidence on organic ARR—excluding acquired contribution—must improve before a full re-rating is underwritten.

BUSINESS ECONOMICS

- Deep Creative Pro workflows, PDF/document standards, enterprise administration and cross-product integration continue supporting entrenched, recurring spend.
- Firefly, Acrobat AI and agentic experiences can preserve relevance and add premium conversion if AI productivity scales paid seats/enterprise workflows.
- Reported free cash flow is very high relative to market value; share-count retirement can compound economic FCF per share if executed below intrinsic value.

PRINCIPAL BEAR COUNTERARGUMENT

- Freemium AI apps and foundation-model tools reduce creation costs, threatening entry-level price/seat capture and some professional workflows.
- Acquired revenue (including Semrush) may exaggerate headline net new ARR; analysis suggesting >40% decline in Q3 organic net-new ARR is a sell-side estimate not independently verified.
- Stock compensation is an economic cost even when GAAP cash flow adds it back; the owner-FCF DCF uses an explicit haircut.

Decision hinge. Current price **$247.09** compared with conservative FCFE DCF base **$346** (+40%) and 25/50/25 weighted scenario **$361**. These are 10-year present values, not near-term price promises. Proposed Equity Research posture **ADD / GATED**, conviction 7/10. CIO owns authoritative thesis status, capital allocation and trade decision.

COMPANY QUALITY

8.5 / 10

Moat, repeatability, margins, balance-sheet resilience, management and investor control quality.

VALUATION / PORTFOLIO FIT

8.5 / 10 / 8 / 10

Value versus expectations / incremental fit at current workbook concentration; distinct from business quality.

Scoring and recommendation are research assessments, not externally sourced credit ratings or a change to Portfolio CIO-controlled status.

02 · What has changed since previous underwriting?

Previous investment research: **October 17 re-underwrite** (market anchor **$245.20**; prior base approximately **$332**). The company-specific developments below determine which model and thesis assumptions require refreshing.

Q3 print retained	September quarter produced $6.76B sales, +13% reported, and $27.5B exiting ARR; Q4 guidance $6.80–6.85B.
October analyst challenge	Wells Fargo downgraded Adobe on October 12 amid concern that Semrush contribution masks a steep decline in organic net-new ARR; this remains analyst estimation, not Adobe-disclosed organic reconciled ARR.
AI product and scale	AI-first ARR exceeded 150% YoY growth and Adobe cited over 1B MAU, but MAU and AI-first ARR do not yet prove incremental Creative paid-seat monetization.
Price and position	Price ~$247.09, modestly above October 17 prior ~$245.20; position 35 shares, 0.50% of export 63.

Price-anchor changes are period-specific and do not prove a thesis revision on their own. New DCF outputs should not be compared mechanically with earlier forward-P/E targets without noting methodology differences.

03 · Business quality, industry structure & moat

Core underwriting pillars

- Deep Creative Pro workflows, PDF/document standards, enterprise administration and cross-product integration continue supporting entrenched, recurring spend.
- Firefly, Acrobat AI and agentic experiences can preserve relevance and add premium conversion if AI productivity scales paid seats/enterprise workflows.
- Reported free cash flow is very high relative to market value; share-count retirement can compound economic FCF per share if executed below intrinsic value.
- A discounted price can reward even modest owner-FCF growth if organic net-new ARR stabilizes rather than suffering secular demand erosion.

Strongest counterevidence and competitive pressure

- Freemium AI apps and foundation-model tools reduce creation costs, threatening entry-level price/seat capture and some professional workflows.
- Acquired revenue (including Semrush) may exaggerate headline net new ARR; analysis suggesting >40% decline in Q3 organic net-new ARR is a sell-side estimate not independently verified.
- Stock compensation is an economic cost even when GAAP cash flow adds it back; the owner-FCF DCF uses an explicit haircut.
- CEO transition and acquisitions introduce execution uncertainty; high repurchases reduce cash and do not guarantee earnings durability.

> A strong business can be a poor security when the entry price demands an unrealistically good path—or a high-return idea can fail because operating economics change. The contrary cases above are treated as alternative hypotheses to test, not as fine-print risks.

04 · Earnings, cash generation & management execution

Reported evidence and economically relevant operating metrics

FY26 Q3 revenue	$6.76B	+13% YoY / +12% constant currency
FY26 Q3 GAAP / adjusted EPS	$4.62 / $6.13	Company definitions
Q3 ending ARR	$27.50B	Management FY26 exiting ARR growth guide 10.2%
Q3 operating income GAAP / non-GAAP	$2.35B / $2.97B	High gross margin platform
Q3 operating cash flow	$2.52B	Strong cash conversion
FY2026 revenue / adjusted EPS guide	$26.576–26.626B / $24.45–24.50	Updated September 10
Trailing reported FCF	$10.59B	~40.8% LTM reported FCF margin

LATEST KEY OPERATING FACTS

Q3 REVENUE	Q3 ENDING ARR	TRAILING REPORTED FCF	FY2027 STREET EPS
$6.76B	**$27.50B**	**$10.59B**	**$27.64**
+13% YoY	+10.2% FY26 exit guide	~10.7% FCF yield	~8.9× consensus EPS

GAAP quality, capital allocation, cash-flow bridge

The investor hinge is not gross AI engagement. Growth in paid Creative seats, pricing, retention and incremental organic ending ARR determines whether revenue moat survives the AI transition. Repurchases create shareholder value only if they overcome dilution and are priced below true normalized cash value.

The report uses trailing FCF as a checked market-data starting point, but the DCF's economically sustainable year-zero FCF is explicitly identified as an *analyst scenario input*. Public consensus and company guidance are never substituted for an audited owner-earnings forecast.

05 · Earnings expectations, market valuation & peers

FY2026 adjusted EPS consensus	$24.48	~10.1× FY2026 P/E
FY2027 adjusted EPS consensus	$27.64	~8.94× 2027 P/E
Forward street PEG	~0.66× provider	Growth estimates may prove overstated if organic ARR decelerates
Reported trailing P/FCF	~9.1×	~11.0% reported FCF yield
Economic normalized owner-FCF	~$8.5B	Illustrative ~$2.09B FCF/SBC haircut vs $10.59B filed-like FCF
FY2027 revenue consensus	$29.04B	~9.14% YoY forecast growth
Street average target	$272.31	Only ~10% above share price; analyst dispersion wide

Comparison is drawn against history, investor consensus and economics of realistic alternatives, not a peer-multiple average: high-margin software, insurance services, leading-edge wafer manufacturing and two-sided marketplaces warrant different growth, maintenance capital and valuation measures. Any forward P/E cited uses provider-supplied or clearly labeled adjusted EPS, while GAAP EPS may differ materially. PEG is useful only when estimated earnings growth is consistent, sustainable and positive; it is not an overriding buy rule.

Market price versus expected 2027 performance

At **$247.09**, the equity market is judging durable future growth and margin, not merely whether the latest quarterly print beat consensus. Each valuation ratio has a timing, share-count and accounting-basis dependency. The next release date is **FY26 Q4 / FY27 guidance · Dec. est.**.

06 · Discounted cash flow, reverse DCF & cost-of-capital sensitivity

Ten-year equity free-cash-flow DCF — company-specific economics, explicit growth fade and cash ownership

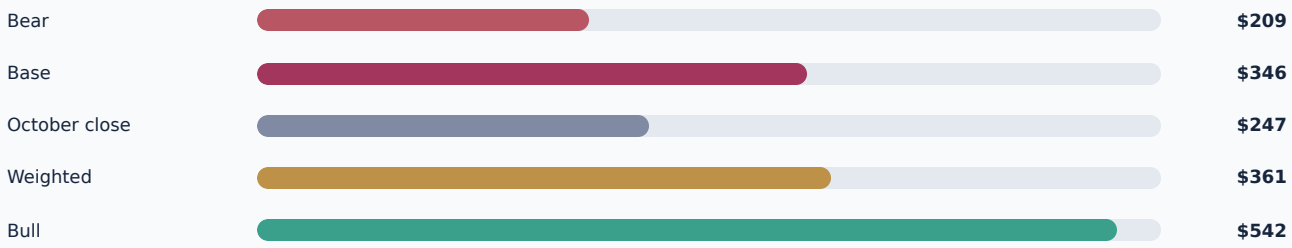
> **Model architecture.** Start with normalized 2026 **$8.50B** of equity FCF; shares / ADR-equivalents **0.3892B**; equity discount rate **10.5%**; terminal growth **2.5%**; explicitly modeled excess cash **$0.0B**. Because the cash flow is after interest, net debt is not deducted again. Terminal value = year-10 FCFE × (1 + g) / (r − g), discounted ten years.

CASE	EQUITY DISCOUNT	YR 1 FCFE	YR 10 FCFE	DCF PER SHARE	VS. PRICE
Bear	11.5%	$8.1B	$8.9B	**$209**	-16%

CASE	EQUITY DISCOUNT	YR 1 FCFE	YR 10 FCFE	DCF PER SHARE	VS. PRICE
Base	10.5%	$9.0B	$14.2B	**$346**	+40%
Bull	9.5%	$9.8B	$20.3B	**$542**	+119%

All cash flow values USD billions and intrinsic per-share amounts in USD. Case growth schedules and analyst discount-rate assumptions are disclosed below. The bull/bear change the discount rate ±100 basis points as well as growth; compare as joint scenarios, not isolated WACC estimates.

VALUE DISTRIBUTION



Scenario mix: bear 25%, base 50%, bull 25%. Weighted value $361; modeled base $346. Probabilities reflect research judgment rather than statistical estimates.

Reverse DCF: what is priced in?

A constant annual equity-FCF growth rate of **0.7%** for ten years would match $247.09 with the base discount rate and terminal assumption. Year-10 normalized equity FCF would be **$9.2B**. This is a market-implied growth hurdle under a deliberately simplified flat-growth trajectory.

Owner-earnings sensitivity

If starting distributable FCF is **15% lower** ($7.22B), the reverse growth hurdle becomes **3.0%** per year. This sensitivity addresses continuing reinvestment, capital allocation and share dilution but is not a second reported earnings figure.

Base intrinsic value sensitivity to cost of equity

DISCOUNT	EQUITY VALUE/SHARE	VERSUS CLOSE
9.5%	$398	+61.0%
10.0%	$370	+49.9%
10.5%	$346	+40.2%
11.0%	$325	+31.6%
11.5%	$306	+24.0%

Cash-flow provenance and normalization: The base model replaces $10.59B cash-flow-statement FCF with an assumed $8.5B economically distributable equity FCF to reflect replacement cost of stock-based compensation, net of incomplete offset from buybacks. This is a judgmental owner-earnings adjustment (not GAAP). Discount at 10.5% cost of equity, terminal 2.5%; FCFE is after interest and no debt is deducted again.

Model assumes no terminal disruption, constant terminal economics, stable projected share count and returns proportional to FCFE. If buybacks materially reduce diluted shares, FCFE per-share could improve; if dilution, acquisitions or insurance/fab funding absorbs more capital, intrinsic value may fall. A risk-free rate near 5% materially affects long-duration valuations.

07 · Bull / base / bear operating cases

BEAR • 25% PROBABILITY

$209 per share

Downside from slower adoption, margin/FCFE growth and higher required return.

First-year FCF growth: -5%; terminal-year growth: +2%; equity discount 11.5%.

BASE • 50% PROBABILITY

$346 per share

Durable execution with a deliberately decelerating, investable growth runway.

First-year FCF growth: +6%; terminal-year growth: +3%; equity discount 10.5%.

BULL • 25% PROBABILITY

$542 per share

Longer exceptional scale advantage and more persistent cash compounding.

First-year FCF growth: +15%; terminal-year growth: +5%; equity discount 9.5%.

Complete ten-year model growth assumptions

YEAR	BEAR	BASE	BULL
2027	-5.0%	6.0%	15.0%
2028	-3.0%	7.0%	14.0%
2029	0.0%	7.0%	12.0%
2030	1.0%	6.0%	10.0%
2031	2.0%	6.0%	9.0%
2032	2.0%	5.0%	8.0%
2033	2.0%	5.0%	7.0%
2034	2.0%	4.0%	6.0%
2035	2.0%	3.5%	5.5%
2036	2.0%	3.0%	5.0%

Scenario-weighted research value **$361**; it is not the expected October 2027 trading price. The model spans many business cycles and requires consistent evidence on pricing, demand, cash conversion and capital allocation.

08 · Portfolio fit using canonical export 63

CURRENT EXPOSURE

35 shares

Portfolio weight: **0.50%**. Workbook last price **$244.78** (stale versus October 19 live quote). Cost basis **$8,155.95**; average **$233.03**. Sole holdings source: export 63.

MARK-TO-MARKET SENSITIVITY

$8,648

Indicative October 19 market value using workbook quantities × independent closing price; change versus workbook value **$+81** before fees or trades. No assumption that the canonical workbook has been updated.

Portfolio role: **8 / 10** assessed separately from valuation. Adding at market prices changes portfolio concentration, correlation and retirement funding risk even if the research target suggests long-run upside. Capital-allocation authorization remains with Portfolio CIO;

equity research is not a trade instruction.

09 · Catalysts, dated checkpoints & thesis-break criteria

Evidence to demand next

- Fiscal Q4 revenue $6.80–6.85B, adjusted EPS $6.30–6.35 with transparent acquired vs organic ARR bridge.
- FY2027 guidance of high-single-digit to 10%+ total revenue growth with organic ARR stabilization and low-teens EPS growth.
- AI-first ARR contribution moving toward $1B and evidence of incremental bookings, paid conversion and retention.
- CEO transition on December 1; continuity in enterprise sales, product monetization and capital returns.

Explicit thesis-break conditions

- Two consecutive quarters of ending ARR growth below ~8% without temporary or acquisition-definition explanation.
- Sustained deterioration in paid Creative seats, pricing or retention caused by AI substitution.
- AI-first ARR fails to drive incremental total company ARR, pricing or user monetization despite strong free users.
- Normalized FCF margin materially below ~35% alongside slowing sales; repurchases fail to offset dilution.
- CEO succession causes material executive attrition, a reset of strategy or poor capital allocation.

> **Separation of roles:** Weakness in forward valuation alone may trigger a suggested lower purchase price or watch posture without implying the underlying company moat broke. Breaking an operating condition triggers formal CIO review; this report does not alter the official status or current position.

Outstanding diligence questions

- What is organic Q3 net-new ARR excluding Semrush and other acquisitions, consistently defined?
- Will freemium Adobe Express users convert to monetizing subscriptions at stable unit economics?
- How much of reported FCF is required each year to offset the economic cost of employee stock compensation?

10 · Evidence register and research limitations

Primary documents take precedence over market aggregates. S&P Global-derived StockAnalysis data supply current market capitalization, share statistics, trailing FCFE proxy and forward analyst estimates. Prices use independent October 19 regular-session closes; data snapshots around market close may differ slightly across vendors.

01 Adobe September FY2026 Q3 SEC earnings exhibit
Read source ↗

02 S&P data: Adobe latest market stats
Read source ↗

03 S&P analyst forecasts and downgrade listings
Read source ↗

04 Oct 19 share close history
Read source ↗

05 Oct 12 Wells Fargo analyst headline and price target
Read source ↗

Facts: company filings/management press releases, source-supported market data, user-provided holdings. **Third-party estimates:** 2027 EPS/revenue consensus and Street targets. **Analyst assumptions:** ten-year FCF growth vectors, cost of equity, terminal growth, cash normalization, case probabilities, intrinsic value and portfolio research posture.

Evidence confidence: high for filed quarter and portfolio counts; medium for consensus snapshots; low-to-medium for exact long-dated DCF outputs. **Underwriting readiness:** refreshed scenario underwrite, decision-gated by the next company-specific result. Formal research concluded; publication to PCCs not authorized. **Source-control exception:** default GitHub manifest still names export 61 despite October 16 explicit export 63 designation; no older workbook was substituted.

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